stories tend to create a sense of urgency among investors who don't want to miss out. The stories of very successful investors, without going into specific details, can make you more aggressive than you can manage, and can lead to decisions detrimental to your risk tolerance and investment needs.

These days, you also have a plethora of DIY investing apps that are quick and easy to use. Many of these also run mock portfolios that one could invest in, with past performance flashing every time you access the apps. There is a tendency to get more aggressive than you typically are, which means investing without enough research and understanding. An extension of this is the rise in the number of F&O investors in recent years. These investors compete against algorithms and big institutions that are hard to beat.

Such has been the havoc caused by F&O investing that the market regulator Sebi has stepped in time and again to tweak the rules to make it less tempting for retail investors to get into this form of investing. According to a recent Sebi study, 93 per cent of individual F&O traders lost money from FY22 to FY24. Imagine, 11.3 million unique individual traders incurred a combined net loss (trading loss inclusive of transaction costs) of Rs 1.81 lakh crore in F&Os in this period. It further noted that over 10 million traders (92.8 per cent of individual traders) lost, on an average, about Rs 2 lakh per person in F&Os over three years.

When you get very aggressive, you get irrational and start investing in untested investment ideas. However, you should try to time investing and look for strategies that promise higher-than-reasonable returns. The best way to avoid this sin is to tone

